

Pilot to shareholders in March 2000, Palm Pilot traded at levels exceeding the inherent value of the shares of the original company. “This would not happen in a rational world,” Thaler notes. Professor Thaler is also the author of the book *Advances in Behavioral Finance*, which was published in 1993.

More recently, Professor Thaler, in conjunction with Professor Cass Sunstein, wrote *Nudge: Improving Decisions About Health, Wealth, and Happiness*. In this work, Thaler and Sunstein support the idea that by “tilting” people’s decision making in a positive direction, everyone can make society a better place. The following is an interesting and insightful excerpt from an interview Amazon.com did with Thaler and Sunstein.⁴ I particularly like the reference to choice architecture.

Amazon.com: What do you mean by “nudge” and why do people sometimes need to be nudged?

Thaler and Sunstein: By a nudge we mean anything that influences our choices. A school cafeteria might try to nudge kids toward good diets by putting the healthiest foods at front. We think that it’s time for institutions, including government, to become much more user-friendly by enlisting the science of choice to make life easier for people and by gentling nudging them in directions that will make their lives better.

Amazon.com: Can you describe a nudge that is now being used successfully?

Thaler and Sunstein: One example is the *Save More Tomorrow* program. Firms offer employees who are not saving very much the option of joining a program in which their saving rates are automatically increased whenever the employee gets a raise. This plan has more than tripled saving rates in some firms, and is now offered by thousands of employers.

Amazon.com: What is “choice architecture” and how does it affect the average person’s daily life?

Thaler and Sunstein: Choice architecture is the context in which you make your choice. Suppose you go into a cafeteria. What do you see first, the salad bar or the burger and fries stand? Where’s the chocolate cake? Where’s the fruit? These features influence what you will choose to eat, so the person who decides how to display the food is the choice architect of the cafeteria. All of our choices are similarly influenced by choice architects. The architecture includes rules deciding what happens if you do nothing; what’s said and what isn’t said; what you see and what you don’t. Doctors, employers, credit card companies, banks, and even parents are choice architects.

We show that by carefully designing the choice architecture, we can make dramatic improvements in the decisions people make, without